

following table shows what you can spend with interest rates at 17 percent and inflation at 8 percent:

NET WORTH	\$400,000	\$500,000
Gross income at 17%	\$ 68,000	\$ 85,000
Less taxes	14,300	19,800
Net income	53,700	65,200
Less inflation	32,000	40,000
Spendable income	\$ 21,700	\$ 25,200

Under this scenario you pay more in taxes. But you've also got more to spend on yourself: \$21,700 or \$25,200, depending on your net worth.

Note that the difference between \$400,000 and \$500,000 of net worth translates into a difference of only \$3,500 in spendable income. In the first example the difference was \$4,070. And with either \$400,000 or \$500,000, in either example, you can live according to the \$50-a-Day Rule. So \$400,000 is plenty of money to retire. But most of us want to be conservative in our plans; \$500,000 is a more comfortable figure because it gives us a cushion of \$100,000. We can eat into that cushion if something goes wrong.

What can go wrong? Suppose CD rates drop to 6 percent and inflation jumps to 4 percent. That's a real rate of only 2 percent, far lower than anything we've seen in the postderegulation period. Because of the constant, growing pressure on credit markets, it's doubtful that real rates will stay that low for very long. But it could happen, and here's what we'd have:

NET WORTH	\$400,000	\$500,000
Gross income at 6%	\$ 24,000	\$ 30,000
Less taxes	2,200	3,300
Net income	21,800	26,700
Less inflation	16,000	20,000
Spendable income	\$ 5,800	\$ 6,700